upward breakout. In either case, the real action is upward. Over a quarter (27%) of all falling wedges show this momentary downward spin.

Busted trade. As I mentioned in the discussion of Table 73.9, busted downward breakouts can be profitable trades. Just remember that price has to close above the top of the wedge to bust the downward breakout. The results you see in that table are for many perfect trades.

Experience

Let me tell you about what I found in my trade review.

Millennium Pharmaceuticals

I only traded a falling wedge once from the sell side. That was in Millennium Pharmaceuticals (MLNM) in 2005. I bought a rounding bottom (or descending scallop) after price started moving up.

Instead of rising the stock reversed and formed a falling wedge. From my notebook: “Sell reason: This broke out downward from a falling wedge, so it was time to leave. The stop was too far away on this one, initially. Coupled with bad timing on the sale … ugh.”

The wedge saw price curl around the apex and move higher after I sold. As I mentioned, this dip happens sometimes, but not before taking 12% of my money.

- Lesson: The initial stop was placed 14% away from the buy price, which was too far. The adverse breakout from the falling wedge narrowed the loss somewhat but it was still too far away.

Ben and Jerrys A

On the buy side, I took a position in Ben and Jerrys A (BJICA) in late 1999 after the stock formed a falling wedge. This one had the same curl as I just described for MLNM except I bought when price was rebounding after it rose past the apex. The stock climbed for a week and then started heading lower. It made a strong drop, pushing price back below the apex when I sold.